



INTELLIGENTCROSS®

September 17, 2025

Ms. Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, N.E.
Washington, D.C. 20549-1090

Re: Roundtable on Trade-Through Prohibitions (File Number 4-862)

Dear Ms. Countryman:

IntelligentCross¹ welcomes the opportunity to participate in, and provide its views on the issues to be examined at, the SEC Roundtable on Trade-Through Prohibitions (“Roundtable”).² IntelligentCross approaches these issues from a unique position. We operate an Alternative Trading System (“ATS”) that displays its quotes to the public, but those quotes are currently not readily visible to all investors as they are not “protected” as are the quotes of other venues displaying liquidity, *i.e.*, exchanges. Our experience, therefore, with trade-through prohibitions comes from the perspective of what we have seen as a venue with displayed liquidity operating without our quotes being subject to such protection.

As discussed further below, IntelligentCross has sought through a proposed SRO rule change to add the IntelligentCross ATS as a new entrant to FINRA’s Alternative Display Facility (“ADF”),³ which would provide IntelligentCross’ quotes with trade-through protection. Our interest in having this protection is not because of any particular support for the current trade-through prohibition regime but from the desire to make our displayed quotes more readily available to investors to whom these quotes are not currently visible, and to provide additional liquidity, innovation and competition to the displayed markets. Whether these goals are achieved as a result of the elimination of the trade-through prohibitions or the modernization of the current trade-through prohibition regime is less important than achieving the goals themselves.

I. Background

Launched in 2018, IntelligentCross was created to build a venue that optimizes price discovery, achieves maximum price stability after trades, and provides an opportunity for market participants to improve performance by reducing market impact and adverse selection. The IntelligentCross ATS operates two

¹ IntelligentCross is a SEC-registered US equities Alternative Trading System (“ATS”). Imperative Execution is a financial technology company that is the parent company of IntelligentCross. For further information on Imperative Execution and IntelligentCross, see <https://www.imperativex.com/intelligentcross>.

² SEC Announces Roundtable on Trade-Through Prohibitions, Release 2025-99, July 21, 2025. See <https://www.sec.gov/newsroom/meetings-events/roundtable-trade-through-prohibitions>.

³ See SEC Release No. 34-96550 (December 20, 2022), 87 FR 79401 (December 27, 2022); Order Instituting Proceedings to Determine Whether to Approve or Disapprove a Proposed Rule Change Relating to Alternative Display Facility New Entrant, SEC Release No. 34-97195 (March 24, 2023), 88 FR 19173 (March 30, 2023), and Notice of Designation of Longer Period for Commission Action on Proceedings To Determine Whether To Approve or Disapprove a Proposed Rule Change Relating to Alternative Display Facility New Entrant, SEC Release No. 34-97784 (June 21, 2023), 88 FR 41710 (June 27, 2023). See also, Notice of Filing of Partial Amendment No. 1 to Proposed Rule Change Relating to Alternative Display Facility New Entrant, SEC Release No. 34-102542 (March 7, 2025), 90 FR 12004 (March 13, 2025).

different matching models: (1) a Midpoint book that only accepts non-displayed midpoint orders and (2) ASPEN, a full limit order book with optional displayed capability.⁴

IntelligentCross is widely used by most major US broker-dealers and electronic trading firms. Orders are provided by a variety of market participants covering all facets of the markets, including long-only institutional investors, hedge funds, algorithmic traders, and market makers. In August 2025, our average daily market share was 2.1 percent⁵ and since March 2025, IntelligentCross has been consistently listed first in total shares traded by ATSs of NMS Tier 1 and Tier 2 stocks in the FINRA ATS weekly statistics.⁶

II. Why IntelligentCross Has Sought Trade-Through Protection for its Displayed Liquidity

The ASPEN book has been operating since 2019 and currently publishes displayed prices from round lot or larger orders in over 6,000 securities daily and improves the NBBO over 4 million times per day (for orders of round-lot size or larger on arrival).⁷ As noted above, these prices, however, are not readily visible to all investors because the quotes displayed on the IntelligentCross ATS are not protected quotes.

In addition, IntelligentCross provides its full market data feed, IQX, for free to anyone interested in receiving the data. Only a small portion of market participants, however, choose to obtain that data, and even a smaller portion choose to incorporate that data into their order routing logic.⁸ In speaking with market participants, it is our understanding that many routers are designed to only access displayed protected quotes, and there is therefore a disincentive to add new venues to such routers and perform any associated work unless required to do so. In addition, because trade-through prohibitions arguably cause some brokers to take a more conservative view of best execution when it comes to displayed liquidity, they route primarily based on officially displayed quotes subject to trade-through prohibitions which creates further disincentives to route to IntelligentCross without a protected quote.

This has created a situation that has allowed market participants to miss or effectively “ignore” or “trade through” the IntelligentCross quote, even when it is the best displayed quote in the market, to the magnitude of over 377 thousand times per day on average.⁹ This is why IntelligentCross has sought through the FINRA proposed rule change to obtain trade-through protection for IntelligentCross’ displayed quotes. Such protection will counter the current predispositions of market participants who either will not take in the IntelligentCross market data feed, or act upon the information in that feed, due to the fact that IntelligentCross’ quotes are not protected quotes.¹⁰

⁴ Orders sent to the ASPEN book may be marked by IntelligentCross subscribers as either displayed or non-displayed.

⁵ 2.1 percent represents the combined share of the IntelligentCross ASPEN and Midpoint books matched shares, single counted.

⁶ See <https://otctransparency.finra.org/otctransparency/AtsData>

⁷ Based on platform statistics, YTD through August 2025.

⁸ 36 firms are licensed to receive the IQX market data feed, as of August 2025.

⁹ In addition, during 2025, approximately 69 million shares, valued at \$5.25 billion per day, were printed to the SIPs at prices worse than those displayed by ASPEN (as a round lot size or larger) at that time. Based on platform statistics and SIP trade data, YTD through August 2025.

¹⁰ While the FINRA proposed rule change was approved on the merits by the Commission, pursuant to delegated authority to the staff of the Division of Trading and Markets (see Order Approving Proposed Rule Change Relating to Alternative Display Facility New Entrant, SEC Release No. 34-98212 (August 24, 2023), 88 FR 59958 (August 30, 2023)), and the Commission determined that IntelligentCross would operate as an automated trading center in compliance with Regulation NMS, such that its quotations would be “automated” and thus “protected” under Rule 611 of Regulation NMS, the approval order was subsequently stayed the day after approval and “until the Commission orders otherwise.” See Order Scheduling Filing of Statements of Review for SR-FINRA-2022-032, SEC Release 34-98642 (September 29, 2023).

III. The Argument for Elimination of Trade-Through Prohibitions

While competitive forces, rather than regulation, should ideally drive trading decisions, unfortunately this is not always the case. The trade-through rule has created an environment where market participants have artificially limited order routing options, and where venues whose quotes are not subject to trade-through prohibitions have reduced opportunity to attract order flow. As illustrated by the growth of IntelligentCross in the non-displayed markets, attracting order flow can be accomplished based on, among other things, execution quality and providing customized execution options that address the specific needs of clients, rather than through a regulatory requirement for the routing of orders. IntelligentCross therefore believes that it is fair for the Commission to consider whether trade-through prohibitions are still needed.

The elimination of the current trade-through prohibitions would address a number of issues identified around the current regime, as discussed further below. We recognize, however, that the elimination of the current trade-through prohibitions could further shift the burden for overall execution quality to routing brokers and it is therefore important to evaluate best execution obligations at the same time.¹¹ IntelligentCross therefore supports a thoughtful analysis of the impact of making any changes to the current trade-through prohibition regime.

A. Addressing Concerns Regarding Innovation, Competition, and Commission Decision Making

When Regulation NMS was adopted, concerns were raised about the potential for the detrimental impact of the trade-through prohibitions on competition and innovation, and the value of allowing regulation instead of competition to guide the development of the national market system. Specifically, then Commissioners Glassman and Atkins, in their dissent to the adoption of Regulation NMS,¹² stated that when it comes to approving a new participant in the ADF for the trade-through rule, “[t]he Commission’s involvement in implementing the access and automated market provisions of Regulation NMS will create additional barriers to entry,” particularly around determining which markets comply with the definition of an automated market, which the dissent stated would involve the Commission in “highly technical and subjective judgments, which may neither be fair nor expedient.”¹³

We have seen these concerns come to fruition in the case of IntelligentCross as the continued inability for IntelligentCross’ quotes to be considered protected quotes has stifled the introduction of innovation and competition to the displayed markets, impeded the ability for many investors to access the prices offered on IntelligentCross, and involved the Commission in the exact types of subjective judgments that the Glassman-Atkins dissent warned about 20 years ago. The elimination of the trade-through prohibitions would take the Commission out of such decision making, foster a more competitive playing field among lit venues, and more easily facilitate the introduction of innovation to the displayed markets.

¹¹ Other issues, such as those around amending or rescinding other rules, including those associated with access fees, market data fees, and locked and crossed markets, also would need to be considered.

¹² See Dissent of Commissioners Cynthia A. Glassman and Paul S. Atkins to the Adoption of Regulation NMS, June 9, 2005 at <https://www.sec.gov/files/rules/final/34-51808-dissent.pdf>.

¹³ See *id* at 33-34. The dissent also noted that “instead of facilitating a national market system in which technology, competition and innovation will produce benefits for all investors, Regulation NMS saddles the marketplace with anachronistic regulation that reduces investor choice and raises investor costs.” See *id* at 43.

B. Providing More Flexibility in Order Routing and Execution

The elimination of trade-through prohibitions also would provide greater flexibility for market participants in the routing and execution of orders and avoid having the Commission effectively pick winners and losers when it comes to competition among venues for the execution of displayed orders. Currently, Rule 611 limits the options available for the routing of displayed orders, and reduces the flexibility available to market participants. The elimination of the trade-through prohibitions would allow for market participants to more easily trade as they see fit for their particular strategy, whether that strategy is focused on speed, certainty of execution, or price (or all of the above) or for the type of trader involved, *i.e.*, whether institutional or retail.

Given the interconnectedness of the markets and the technological tools available to market participants since the adoption of Regulation NMS, we do not believe this would create significant difficulties for market participants. In addition to best execution, a wide variety of trading strategies are already employed to address differences in venues, or to serve the particular needs of investors, and trading decisions already are dealt with on a daily basis through the use of order routing logic that adjusts for differences in price, market features, order types, and latency, among other things.

C. Review of Best Execution

As noted above, elimination of the trade-through rule would require a number of other issues to be addressed, including highlighting the importance of best execution. Over the years there have been calls for an examination of best execution in light of the trade-through prohibitions and Rule 611¹⁴ as well as an acknowledgment that there may be a need to focus best execution obligations more on outcomes for customers rather than a process-oriented approach.¹⁵ In fact, many believe that best execution should be a substitute for trade-through prohibitions, allowing market participants to broaden their evaluation of execution quality from price as the primary if not exclusive factor in order routing.¹⁶ As now Trading and Markets Director Selway stated at the EMSAC meetings a decade ago, “implementing ‘best price wins’ required the SEC to be fairly prescriptive in terms of order routing, as opposed to flexibility traditionally afforded to broker dealers under the common law fiduciary duty of best execution.”¹⁷

¹⁴ See Remarks at SEC Speaks: Encouraging Smaller Entrants to Our Capital Markets, Commissioner Elad L. Roisman, April 8, 2019, at <https://www.sec.gov/newsroom/speeches-statements/speech-roisman-040819> (“For the equities market, I would like to take a closer look at best execution requirements, especially in conjunction with the order protection rule (‘OPR’). Having lived with Regulation NMS for more than a decade ... we should consider whether tweaks, or more significant changes, are appropriate. For example, I would be interested in exploring a comprehensive and non-prescriptive interpretation of the regulatory requirement for broker-dealers and investment advisers to achieve ‘best execution ...’”).

¹⁵ See, *e.g.*, Remarks by Commissioner Elad L. Roisman at the SIFMA Equity Market Structure Conference: The Dynamics of our Markets and the Changing Structure on which they are Built, September 19, 2019 at <https://www.sec.gov/newsroom/speeches-statements/roisman-remarks-sifma-equity-market-structure-conference-091919>. (“Finally, some have noted that this framework for regulator review of best execution often has been process-oriented - *i.e.*, requiring that brokers show their work - rather than focused on outcomes for customers. Is this how we should continue to think about best execution, or should we focus more on outcomes?”).

¹⁶ See, *e.g.*, Remarks by Commissioner Gallagher at Equity Market Structure Advisory Committee Meeting, May 13, 2015 at <https://www.sec.gov/newsroom/speeches-statements/gallagher-remarks-inaugural-sec-equity-market-structure-advisor>. “The trade-through rule creates distortions by assuming that price is all that market participants care about when buying or selling equities. What makes the adoption of Rule 611 particularly frustrating is the fact that there exists a less complex and burdensome alternative to the trade-through rule, ... a rule further clarifying a broker’s duty of best execution.” Equity Market Structure Advisory Committee Meeting, May 13, 2015 at <https://www.sec.gov/spotlight/emsac/emsac-051315-transcript.txt>.

¹⁷ Transcript for Equity Market Structure Advisory Committee Meeting, May 13, 2015, at <https://www.sec.gov/spotlight/emsac/emsac-051315-transcript.txt> (statement of Jamie P. Selway, Head of Electronic Brokerage, ITG Inc.).

It is IntelligentCross' experience that market participants desire flexibility when trading. Focusing more on outcomes instead of process when it comes to best execution therefore would be optimal and would facilitate the elimination of trade-through prohibitions if that is the path the Commission so chooses.

IV. If Trade-Through Prohibitions Remain, Rules Should be Modernized to Allow for Innovation and Competition

If the Commission determines to keep trade-through prohibitions in place, IntelligentCross believes that it is time to consider whether Rule 611 really encourages innovation and differentiation in the displayed markets. There is certainly no requirement under Regulation NMS of a one-size-fits-all trading model when it comes to venues with a protected quote, nor should there be. In a recent speech, Commissioner Peirce recognized this issue and asked whether "[t]his largely homogenous, proliferating exchange landscape may be a product of government regulation" and that one cause may be Rule 611.¹⁸

To that end, if trade-through prohibitions remain, the Commission must ensure that venues like IntelligentCross are provided with the opportunity to provide their liquidity to the markets as a protected quote. In addition, the fact that the proposed rule change to provide IntelligentCross' quotes with trade-through protection was put out for public comment almost three years ago and our displayed liquidity still is not readily available to all investors is representative of the need to examine the current process associated with providing a venue with a protected quote under Rule 611.

A. Minimum Thresholds for the Application of Trade-Through Prohibitions

One proposal of note that has been discussed if trade-through prohibitions remain is limiting the application of the trade-through rule to venues that meet certain minimum volume thresholds, *i.e.*, market centers with volume below a certain threshold would not be provided with trade-through protection.

While a minimum threshold may address concerns that have been expressed including, among other things, having to connect to every venue with a protected quote notwithstanding the volume provided by that venue to the markets, this proposal would keep the Commission in a position of having to effectively pick winners and losers by, among other things, having to choose and define the parameters around the threshold. A minimum threshold also could provide venues with incentives to take steps, such as changes in pricing, solely designed to ensure that the venue fulfills whatever minimum threshold is determined and how it is applied.

More importantly, IntelligentCross believes a minimum threshold can have anti-competitive impacts and stifle innovation along the lines of the concerns expressed when the trade-through prohibitions were put in place.¹⁹ While IntelligentCross supports venues competing based on their merits and the "value-add" provided to the markets, the Commission should ensure that any changes to the trade-through prohibition regime allows new venues to have an opportunity to prove their value to the markets.

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¹⁸ Horses and Bourses: Remarks at the 12th Annual Conference on Financial Market Regulation, Commissioner Hester M. Peirce, May 16, 2025, at <https://www.sec.gov/newsroom/speeches-statements/peirce-remarks-financial-market-regulation-051625>. Similarly, as now Trading and Markets Director Selway stated at the EMSAC meetings, "[i]n the minds of some, the lack of innovation has led to a 'sameness' across U.S. exchanges, where a group of price-time priority venues with high-performance technology compete on substantially similar rate cards. While the role of Rule 611 in connection with this condition is debatable, it is certainly the case that its inflexibility hinders new market structure ideas." See *supra* note 17.

¹⁹ As then Commissioner Roisman stated, "if we were to go down that path, should we consider some regulatory action to encourage new entrants and to protect the smaller markets that exist today and the roles they serve? See *supra* note 15.

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IntelligentCross stands ready to assist the Commission in its review of the issues discussed at the Roundtable. Please do not hesitate to contact the undersigned at ari.burstein@imperativex.com should you have any questions regarding this submission.

Sincerely,

A handwritten signature in blue ink, appearing to read "Ari Burstein", with a long horizontal flourish extending to the right.

Ari Burstein
General Counsel
Imperative Execution

cc: The Honorable Paul S. Atkins, Chairman
The Honorable Hester M. Peirce, Commissioner
The Honorable Caroline A. Crenshaw, Commissioner
The Honorable Mark T. Uyeda, Commissioner
Jamie Selway, Director, Division of Trading and Markets